

DeMonet® Mechanism Module (VDMM)

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Canonical Definition

DeMonet™ Mechanism Module (VDMM) is the third Core Module of the Value Nullification Standard (VNS) within VFM® — Value Flow Mechanisms Architecture.

VDMM governs DeMonet™, the canonical value-transition mechanism through which previously existing positive value reaches a governed zero-value condition after the applicable Value Nullification Conditions and Value Nullification Threshold have been established.

The Module governs the transition itself rather than the external event, cause, degradation process, threshold, or final determination associated with that transition.

Its foundational function is:

to make the transition from existing positive value to a zero-value condition explicit, governable, traceable, and distinguishable from value that never emerged, value that merely degraded, and value that has become permanently extinct.

Architectural Position

VDMM is the third module within VNS.

It follows:

VNTM — Value Nullification Threshold Module

and precedes:

VNDM — Value Nullification Determination Module.

VNTM establishes:

whether the applicable zero-value threshold has been reached.

VDMM establishes:

the governed mechanism through which previously existing positive value transitions into the zero-value condition.

VNDM subsequently establishes:

whether the complete governed basis supports a formal Value Nullification Determination.

The sequence is therefore:

Threshold → DeMonet™ → Determination.

Internal Module Flow

Established Value Nullification Threshold → Pre-Transition Value State Confirmation → DeMonet™ Transition Initiation → Transition Basis Identification → Affected Value Dimension Confirmation → Transition Scope Definition → Transition Characterization → Zero-Value Condition Entry → DeMonet™ Transition Record → VNDM — Value Nullification Determination Module

The internal logic is:

what positive value existed → which zero-value boundary was reached → what value is transitioning → how the transition occurs → what zero-value condition results → what must proceed to formal determination.

Operational Space

VDMM governs the space between:

established Value Nullification Threshold

and

formal Value Nullification Determination.

This operational space includes:

DeMonet™ initiation; transition identity; pre-transition value state; affected value dimension; affected Value Context; transition scope; transition basis; transition timing;

progressive transition; immediate transition; deliberate transition; externally induced transition; internally induced transition; temporary zero-value transition; potentially permanent zero-value transition; partial nullification; complete dimensional nullification; compound transition; transition evidence; transition uncertainty; transition traceability; zero-value condition entry; DeMonet™ recording.

DeMonet™

DeMonet™ is the canonical VFM® mechanism representing the governed transition of previously existing positive value into a zero-value condition.

Its canonical form is:

Positive Value

→ DeMonet™

→ Zero-Value Condition

The resulting zero-value condition may subsequently support classification as:

ZVA™ — Zero Value Asset™

where the applicable requirements of the architecture are satisfied.

DeMonet™ therefore represents a value transition, not an asset class and not a final lifecycle condition.

DeMonet™ Requires Prior Value

DeMonet™ can occur only where positive value previously existed.

This creates one of the most important boundaries in VNS:

Value Never Emerged ≠ DeMonet™.

If an object, capability, right, process, technology, asset, or other governed entity never acquired positive value within the relevant Value Context, there is no positive value to nullify.

Therefore:

No Prior Positive Value → No DeMonet™ Transition.

This prevents absence of value from being incorrectly represented as loss of value.

DeMonet™ ≠ Value Degradation

Value Degradation governs declining value while positive value remains.

DeMonet™ governs the transition into zero.

Therefore:

Value = 100 → 60 → 20 → 5

remains within:

Value Degradation

while:

Value > 0 → 0

creates the boundary at which:

DeMonet™

becomes applicable.

The distinction is fundamental:

Declining Value ≠ Nullified Value.

DeMonet™ ≠ Value Change

VCS governs the fact and character of material change to value.

DeMonet™ governs a specific lifecycle transition:

Positive Value → Zero-Value Condition.

Every DeMonet™ transition therefore involves a Value Change.

But:

Not Every Value Change = DeMonet™.

Value may increase, decline, fluctuate, mature, compound, transfer between states, or otherwise change without reaching zero.

DeMonet™ ≠ External Cause

The event producing the transition may originate outside VFM®.

Examples may include:

technological displacement; physical destruction; expiration; market disappearance; loss of access; regulatory prohibition; contractual termination; operational failure; strategic withdrawal; capability loss; infrastructure change; organizational decision.

VFM® does not need to govern the external event itself.

VDMM governs:

what happens to the governed value when that event causes the established zero-value boundary to be reached.

Therefore:

External Cause ≠ DeMonet™.

The external cause may trigger the transition.

DeMonet™ is the governed value-transition mechanism.

Progressive DeMonet™

A DeMonet™ transition may follow progressive degradation.

For example:

Positive Value

→ Degradation

→ Further Degradation

→ Threshold Approach

→ Threshold Reached

→ DeMonet™

→ Zero-Value Condition.

In this pathway, DeMonet™ does not represent the entire degradation history.

It represents the decisive transition at the zero-value boundary.

Immediate DeMonet™

DeMonet™ may also occur without a prolonged degradation pathway.

A material event may move value directly from positive to zero.

For example:

Active Access Right

→ Immediate Legal Termination

→ DeMonet™

→ Zero Functional Value within the governed context.

Therefore:

Degradation is not a prerequisite for DeMonet™.

Deliberate DeMonet™

Value may be deliberately withdrawn.

An organization may intentionally:

terminate a capability; discontinue a service; withdraw access; abandon an asset's governed use; eliminate a value-bearing function; retire a value-generating configuration.

Where the relevant positive value legitimately reaches zero, VDMM may govern the resulting transition as:

Deliberate DeMonet™.

The intentional nature of the transition does not make the value loss methodologically different from other nullification pathways.

It changes the transition basis.

Externally Induced DeMonet™

A DeMonet™ transition may result from a change outside the governed Value Object.

For example:

A technically functional system may retain its physical capability while a regulatory prohibition eliminates its legitimate operational use within a defined jurisdiction.

The object has not physically failed.

Yet:

Operationally Permitted Value > 0

may transition to:

Operationally Permitted Value = 0.

VDMM governs the value consequence.

It does not govern the regulatory decision itself.

Contextual DeMonet™

DeMonet™ is Value Context-specific.

An asset may undergo:

DeMonet™ in Context A

while retaining:

Positive Value in Context B.

For example:

A production machine may lose all production value within one manufacturing process but retain:

resale value,

salvage value,

training value,

or

component value.

Therefore:

Contextual Zero Value $\neq$ Universal Zero Value.

Dimensional DeMonet™

DeMonet™ may apply to a particular value dimension.

Possible dimensions include:

Economic Value

Operational Value

Functional Value

Strategic Value

Knowledge Value

Access Value

Commercial Value

Option Value

Salvage Value

A single Value Object may therefore undergo multiple distinct DeMonet™ transitions over its lifecycle.

Example:

Operational Value $\rightarrow$ DeMonet™ $\rightarrow$ 0

while:

Salvage Value $>$ 0.

VDMM must preserve this distinction.

Partial Nullification

A complex Value Object may contain multiple value-bearing components, functions, rights, or capabilities.

DeMonet™ may affect only part of that structure.

VDMM therefore distinguishes:

Partial Value Nullification

from

Complete Dimensional Value Nullification.

Partial nullification means that a defined component of the governed value structure reaches zero while other governed value remains positive.

Temporary DeMonet™

A zero-value condition may be temporary.

For example:

A critical digital capability may become completely unavailable because of a system failure.

During the outage:

Current Functional Value = 0.

If the capability can subsequently be restored, the zero-value condition retains recovery potential.

This may create:

Positive Value

→ DeMonet™

→ Zero-Value Condition

→ later ReMonet™

→ Restored Value.

Therefore:

DeMonet™ ≠ Permanent Extinction.

Permanent-Looking Zero Value

VDMM must not classify a transition as permanently extinct merely because recovery appears unlikely.

The architecture contains a separate terminal governed space:

VXSS — Value Extinction Standard.

Therefore:

Zero Value ≠ Value Extinction.

Even a long-duration zero-value condition may remain recoverable.

The existence or absence of recovery potential must be governed separately.

DeMonet™ and ZVA™

DeMonet™ and ZVA™ — Zero Value Asset™ represent different architectural concepts.

DeMonet™ = Transition Mechanism

ZVA™ = Governed Zero-Value State / Asset Condition where applicable

The relationship is:

Positive Value

→ DeMonet™

→ Zero-Value Condition

→ ZVA™ where applicable.

Therefore:

DeMonet™ $\neq$ ZVA™.

One governs movement.

The other represents the resulting governed condition.

DeMonet™ and ReMonet™

DeMonet™ and ReMonet™ form complementary but non-identical mechanisms.

DeMonet™

governs:

Positive Value → Zero-Value Condition

while:

ReMonet™

governs restoration of previously existing impaired, lost, dormant, or zero value under VRSS — Value Restoration Standard.

A lifecycle may therefore contain:

Positive Value

→ DeMonet™

→ ZVA™

→ ReMonet™

→ Restored Value.

This creates a governed reversible value lifecycle where recovery remains possible.

DeMonet™ and Value Extinction

DeMonet™ does not establish that recoverable value has ceased to exist permanently.

That determination belongs to:

VXSS — Value Extinction Standard.

The critical distinction is:

DeMonet™ → Value reaches zero.

Value Extinction → Value no longer exists as recoverable value within the governed lifecycle.

Therefore:

DeMonet™ ≠ Extinction.

Transition Identity

Every material DeMonet™ transition should be independently identifiable.

A transition identity may connect:

Value Object; affected value dimension; Value Context; previous Value State; Nullification Condition; Nullification Threshold; transition basis; transition time; resulting zero-value condition; evidence; uncertainty; downstream determination.

This enables the transition to be reconstructed without conflating it with the object itself.

Transition Scope

VDMM requires the scope of DeMonet™ to be explicit.

The scope should identify whether the transition affects:

one value dimension

multiple value dimensions

one component

one capability

one jurisdiction

one operational context

one temporal interval

or

the entire governed value structure.

Without transition scope, a local zero-value event may be incorrectly interpreted as total value loss.

Transition Timing

Where determinable, VDMM records when DeMonet™ occurred.

Timing may be:

Exact

where the threshold crossing is identifiable at a specific point,

Bounded

where the transition occurred within a known interval,

or

Indeterminate

where evidence confirms the transition but cannot establish its precise timing.

Temporal uncertainty must remain visible.

Transition Evidence

A DeMonet™ transition must be supported by evidence sufficient to establish that previously existing positive value entered the applicable zero-value condition.

Evidence may include:

Value State records; degradation records; threshold records; operational records; technical evidence; contractual evidence; access records; expiry records;

market evidence; system records; physical evidence; authorized external determinations.

VDMM does not replace evidence validation or integrity governance.

It uses governed evidence to establish the value-transition mechanism.

Transition Uncertainty

Where evidence does not clearly establish whether the transition occurred, VDMM must preserve uncertainty.

Possible states may include:

Transition Confirmed

Transition Conditionally Established

Transition Under Review

Transition Indeterminate

Transition Not Established

The architecture must not force DeMonet™ merely because value is extremely low or because nullification is expected.

DeMonet™ Transition State

VDMM may assign a governed DeMonet™ Transition State.

A minimum state model may include:

1. Not Initiated

The applicable positive value remains above its governed Nullification Threshold.

2. Initiated

The governed basis indicates that the transition into zero value has begun or become immediately applicable.

3. In Transition

The value is undergoing a governed transition where the transition cannot legitimately be represented as instantaneous.

4. Zero-Value Entry Established

The applicable positive value has entered the zero-value condition.

5. Conditionally Established

The transition is supported only under explicitly defined conditions.

6. Indeterminate

Available evidence cannot establish whether DeMonet™ has occurred.

7. Recorded

The completed DeMonet™ transition has been formally recorded and is ready for downstream determination.

Boundary with VNTM

VNTM establishes:

where the zero-value boundary lies and whether it has been reached.

VDMM establishes:

the governed transition through that boundary.

Therefore:

Threshold ≠ Transition.

Boundary with VNDM

VDMM establishes the DeMonet™ transition basis.

VNDM determines whether the complete governed basis supports formal Value Nullification.

Therefore:

DeMonet™ Transition ≠ Value Nullification Determination.

Boundary with VDG Standard

Value Degradation governs decline while positive value remains.

VDMM governs movement into zero.

Therefore:

Decline while Value > 0 → Value Degradation

Value > 0 → 0 → DeMonet™

Boundary with VSS

VSS governs the current Value State.

VDMM governs the transition through which the prior positive Value State reaches a zero-value condition.

The resulting state may subsequently be represented within VSS.

Therefore:

Value State $\neq$ Value Transition Mechanism.

Boundary with VCS

VCS governs material change to value generally.

VDMM governs the specific nullifying transition:

Positive Value $\rightarrow$ Zero-Value Condition.

Therefore:

Value Change is broader than DeMonet™.

Boundary with VRSS

VRSS governs restoration.

Its canonical mechanism:

ReMonet™

operates where previously impaired, lost, dormant, or zero value is legitimately recovered.

Therefore:

DeMonet™ = movement toward zero.

ReMonet™ = recovery of previously existing value.

Boundary with VXSS

VXSS governs the terminal condition in which the relevant value no longer exists as recoverable value within the governed lifecycle.

VDMM stops at the zero-value transition.

Therefore:

Zero Value $\neq$ Value Extinction.

This boundary is essential because a ZVA™ may retain restoration potential.

Boundary with ORA™

ORA™ may establish the Operational Reality in which the causal event or condition occurred.

VDMM governs the resulting transition in value.

Therefore:

Operational Event $\neq$ Value Transition.

Boundary with VALIDOS®

VALIDOS® may govern validation of claims, evidence, methods, or determinations associated with a DeMonet™ transition.

VDMM owns the methodological structure of the DeMonet™ mechanism itself.

Boundary with INTEGROS®

INTEGROS® may govern integrity of the records and evidence supporting the transition.

VDMM governs what those governed inputs establish about the movement of value into zero.

Boundary with ADIT®

ADIT® may audit whether the DeMonet™ transition and supporting records are observable, preserved, and reconstructable.

VDMM governs the transition itself.

Minimum Implementation Framework

1. Prior Positive Value Confirmation

Confirm that the affected value previously existed as positive value.

2. Threshold Input

Receive the applicable established Value Nullification Threshold from VNTM.

3. Affected Value Identification

Identify the exact value dimension, component, capability, or Value Context undergoing transition.

4. Transition Basis

Identify the governed basis supporting the DeMonet™ transition.

5. Transition Scope

Determine whether nullification is partial, dimensional, contextual, compound, or complete within the defined governed scope.

6. Transition Character

Determine whether the transition is progressive, immediate, deliberate, externally induced, temporary, or otherwise materially characterized.

7. Zero-Value Entry

Establish whether the affected value has entered the zero-value condition.

8. Transition Uncertainty

Preserve material uncertainty affecting the transition.

9. Transition State

Assign the appropriate DeMonet™ Transition State.

10. Transition Record

Create a traceable record connecting the prior positive value, threshold, transition, resulting zero-value condition, and downstream determination pathway.

Governance Outputs

VDMM may produce:

DeMonet™ Transition Record DeMonet™ Transition Identity Pre-Transition Value State Record Affected Value Dimension Record DeMonet™ Transition Basis DeMonet™ Transition Scope DeMonet™ Transition Characterization DeMonet™ Transition Timing Record DeMonet™ Transition Evidence Record DeMonet™ Transition Uncertainty Record Zero-Value Entry Record DeMonet™ Transition State Governed DeMonet™ Transition Object

These outputs provide the governed basis for:

VNDM — Value Nullification Determination Module.

Use Case 1 — Technology Loses Its Remaining

Operational Value

A company operates a specialized legacy technology that has gradually lost efficiency and compatibility.

For several years its operational value declines but remains positive because the technology still performs one critical production function.

The value therefore remains within:

Value Degradation.

A later infrastructure migration permanently removes the technical environment required for that function.

VNTM establishes that the applicable operational-value threshold has been reached.

VDMM then governs:

Existing Operational Value

→ DeMonet™

→ Operational Value = 0.

The technology may nevertheless retain:

resale value,

component value,

knowledge value,

or

historical value.

VDMM therefore records only the nullification of the relevant operational-value dimension.

The technology does not automatically become universally valueless, and its operational zero-value condition does not automatically establish Value Extinction.

Use Case 2 — Digital Capability Temporarily

Becomes Zero Value and Is Later Recoverable

A digital platform provides a specialized capability that creates continuous operational value.

A critical external dependency is terminated.

The capability becomes completely unavailable.

Its functional value within the governed operating context transitions from:

Positive Functional Value

→ DeMonet™

→ Functional Value = 0.

The underlying technology, data, configuration, and organizational capability still exist.

A replacement dependency may later restore the capability.

The resulting zero-value condition may therefore qualify as a ZVA™ — Zero Value Asset™ while retaining restoration potential.

The subsequent lifecycle may become:

Positive Value

→ DeMonet™

→ ZVA™

→ ReMonet™

→ Restored Value.

If recovery eventually becomes impossible and the relevant value ceases to exist as recoverable value within the governed lifecycle, that later condition belongs not to VDMM but to:

VXSS — Value Extinction Standard.

Enterprise Application

VDMM gives organizations a governed mechanism for identifying the precise transition at which value that genuinely existed stops being positive.

This is materially different from merely recording that an asset was written down, discontinued, abandoned, obsolete, impaired, unused, or economically unattractive.

The Module can support governance of:

physical assets; technologies; digital assets; intellectual property; licenses; contractual rights; infrastructure; organizational capabilities; products; services; data assets; AI systems; autonomous systems; operational capabilities.

Its principal enterprise value is the separation of:

value decline

from

value reaching zero

and of:

zero value

from

irrecoverable extinction.

Foundational Principles

DeMonet™ requires previously existing positive value.

Value that never emerged cannot undergo DeMonet™.

Value degradation is not DeMonet™ while positive value remains.

DeMonet™ governs transition, not external causation.

Threshold crossing and DeMonet™ are related but methodologically distinct.

DeMonet™ may be progressive or immediate.

DeMonet™ may be deliberate or externally induced.

DeMonet™ may affect one value dimension without eliminating others.

Contextual zero value is not universal zero value.

DeMonet™ does not automatically establish permanent loss.

DeMonet™ is not ZVA™.

DeMonet™ is not ReMonet™.

DeMonet™ is not Value Extinction.

A zero-value condition may retain restoration potential.

Zero Value ≠ Value Extinction.

Canonical Closing Statement

DeMonet™ Mechanism Module establishes the canonical nullification-transition mechanism through which previously existing positive value crosses its governed zero-value boundary and enters a zero-value condition. By governing prior positive value, affected value dimensions, Value Context, transition basis, scope, timing, character, evidence, uncertainty, zero-value entry, and transition state, VDMM makes value nullification explicit and traceable without confusing degradation with zero value, external causation with value transition, or zero value with terminal extinction. DeMonet™ therefore provides VFM® with a distinct mechanism for representing the loss of existing positive value while preserving the possibility that other value dimensions remain positive and that a resulting ZVA™ may later recover through ReMonet™. The architectural boundary is fundamental: DeMonet™ establishes movement into zero value; it does not establish that recoverable value has ceased to exist.

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Governed Links

→ Value Nullification Standard (VNS)

→ VFM® Architecture Map

→ Previous: Value Nullification Threshold Module (VNTM)

→ Next: Value Nullification Determination Module (VNDM)

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